HIT GREEN ENERGY

THE CLEAN POWER DRIVE

From almost zero presence to becoming the 'fastest growing nation in adding renewable energy', the NDA government has done wonders



AFP

IN 2014, WHEN PRIME MINISTER NARENDRA MODI took over, one of his first big-ticket announcements was increasing the country's solar energy capacity to 100 GW and overall renewable-based energy to 175 GW in a decade. It's 2024 now, and a Central Electricity Authority (CEA) report says installed solar capacity is now about 74 GW (up from 2.6 GW in 2014), while for renewable energy as a whole, it's 191 GW (76 GW in 2014). "India is now the fastest growing nation in adding renewable energy," says Union power minister R.K. Singh, adding that the country has fulfilled its global commitments of getting 40 per cent of its installed power capacity from non-fossil fuels. Needless to say, efforts to push green energy have also had an impact on reducing the country's dependence on coal-based power generation.

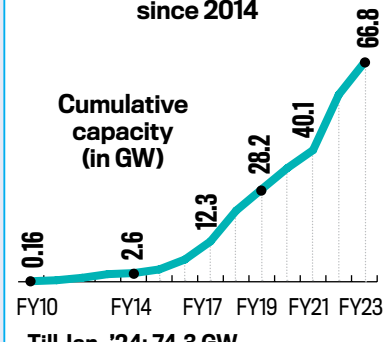
Today, the country has the capacity to add 10-12 GW of solar alone annually. The expansion of India's electricity transmission infrastructure, particularly the Interstate Transmission System (ISTS), has been key to the enhanced capacity to distribute renewable energy efficiently. Initiatives such as the National Solar Mission and the National Hydrogen Mission have been instrumental in this journey. The government has innovated with tenders for 'firm and despatchable' power, allowing for hybrid renewable energy projects with energy storage. The Viability Gap Funding scheme—supporting infra projects that are economically justified but fall marginally short of financial viability—announced in the interim budget will also kick off development of the offshore wind energy sector in the country. The production-linked incentive (PLI) schemes for energy storage, solar modules and e-mobility should also keep the clean energy manufacturing ecosystem running smoothly in India. India has set a target of an ambitious 500 GW of green energy by 2030, so fast-tracking projects remains a key priority.

"The private sector has to strengthen its ability to raise necessary capital and deliver projects on the ground. Speedier land acquisition processes and skill development of the labour force will also be key," says Sumant Sinha, chairman of the country's leading renewable energy company, Renew. Sinha's peers add that state support, in the form of lower taxation and levies, is also needed for manufacturers of Battery Energy Storage Systems. "This will be critical for cost-effective integration of renewable energy output to the grid." Its results will be revolutionary. ■

-Anilesh S. Mahajan

SUNNY DAYS

Green energy capacity has surged since 2014



Till Jan. '24: 74.3 GW

Source: Central Electricity Authority

PSU behemoth, on offer to the public, the Initial Public Offering netting Rs 21,000 crore. Another promise included the monetisation of some key public sector assets via the private sector, estimating that potential to be Rs 6 lakh crore.

The black swan event of Covid, though, would prove to be a setback for Modi's plans for major reforms. To the prime minister's credit, he stood firm and chose fiscal prudence over profligacy to pull the economy out of the crevasse the pandemic had pushed it into. He focused, among other things, on pumping massive amounts into building infrastructure across the country, committing Rs 100 lakh crore in 2020 to the National Infrastructure Pipeline over five years to enhance rail, road and sea connectivity and speed up logistics.

The prime minister's determination and assuredness seem to have paid off, as the economy bounced back strongly, with even world leaders applauding its